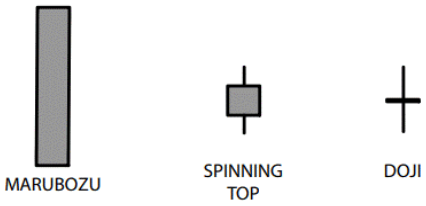
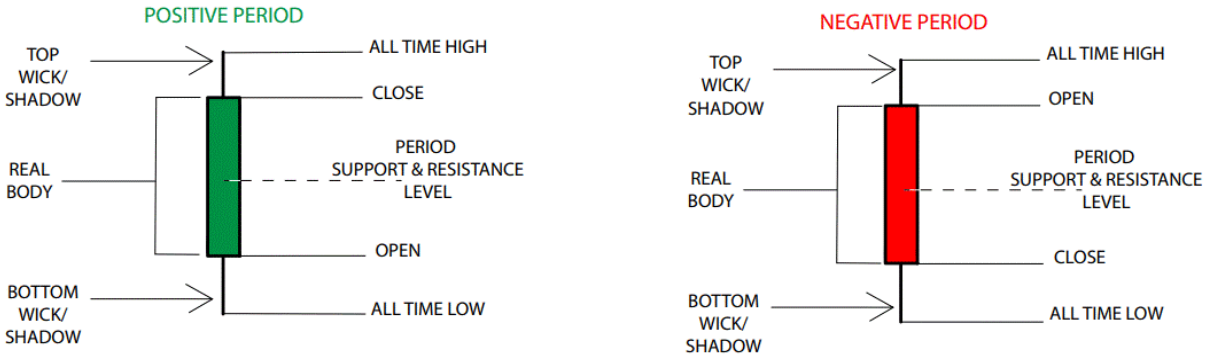
In this lesson, you will learn how Japanese candlesticks provide an insight into when market participants will drive prices higher or lower.

The size of the real body will be used to gauge market momentum which will reflect the balance and imbalance between the "buyers" & "sellers" in the market. These bodies, when combined with one another, will give us insight into the markets direction and the markets charting landscape. The charting landscape consists of support, resistance, and equilibrium zones that will attract, repel or consolidate the price/exchange rate.

In addition, when price does/doesn't respect these zones of support and resistance, then this presents an opportunity to capitalize on the breakout or rejection of price. It's always best to wait for the preceding candlestick to print and confirm the candlestick pattern prior and wait for the retest of that zone to avoid becoming a victim to false breakouts.





There are 3 general types of real candlestick bodies

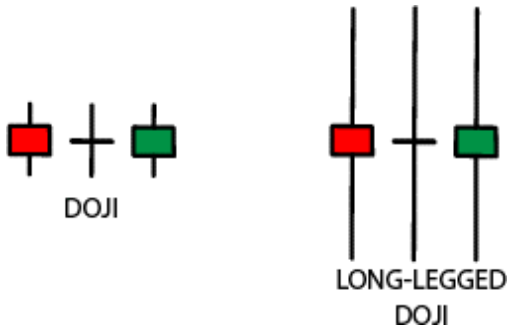
- **Marubozu** - Has a large body with a shaven top and bottom. This candle shows that the buyers or sellers are completely in control and have pushed the price up significantly from open to close for a positive period or close to open for a negative period. It is the most dominant candlestick that displays conviction in price. Meaning, the market direction is determined with strong momentum.

- **Spinning Top** - Has a small body with wicks roughly the same length above and below. They tend to indicate indecision in the market, and are often emerge during periods of consolidation following an uptrend or downtrend, or at market tops and market bottom

- **Doji** -Emerge during periods of tighter consolidation signifying indecision and impulsiveness. This candlestick has no body at all, meaning the opening and closing prices for that period are identical. The wicks can be any length in either direction. Doji typically appear at market tops and market bottoms and can also indicate that the trend is about to reverse, as the conviction of buyers and sellers driving the market weaken.

Candlestick Patterns

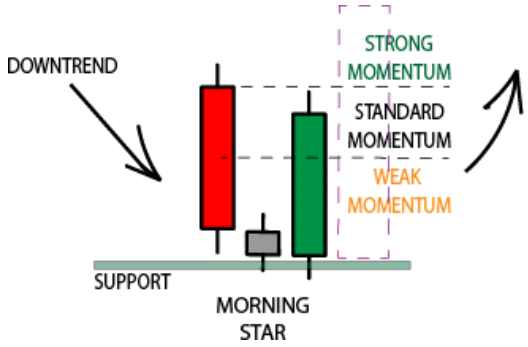
Indecisive Candlestick Patterns



Indecisive candlestick patterns often signal turning points or exhaustion with in the market especially at major support and resistance zones/levels or areas where price interacts with technical indicators. It is imperative that the analysis of these patterns are conducted at these supply and demand zones.

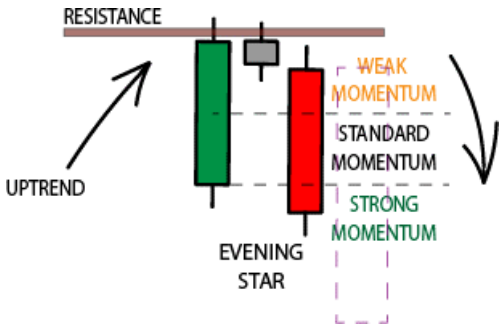
Doji's require your attention more than any other candlestick. These short-body, long wicked periods generate diverse trading strategies and offer major clues about the preceding price change. Their broad formations reveal a trend change on the next lower time frame that comprise of a larger collection of inside bars, shooting stars and pin bars. The preceding candle often confirms the doji's reversal potential. So, pay very close attention to any indecisive candlestick pattern because they can forecast a reversal or continuation in the trend is underway.

Bullish Candlestick Pattern



When price is testing a level of support there is a higher probability for bullish candlestick patterns to emerge. When using these patterns to enter and exit the market, we must wait for confirmation on the closing of the next candle.

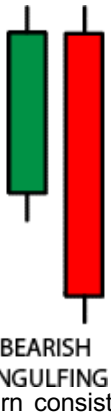
Bearish Candlestick Patterns



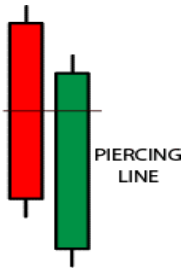
When price is testing a level of resistance there is a higher probability for bearish candlestick patterns to emerge. When using these patterns to enter and exit the market, we must wait for confirmation on the closing of the next candle.



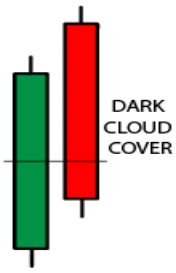
The **Bulling engulfing** pattern consists of two candles. The second candle must be a positive period engulfing the real body of the prior candle which can either be a negative period or a doji. This pattern should emerge at **support** after a downtrend. **The shorter the first candle & longer the second engulfing candle, the more significant the pattern. Bullish engulfing has its confirmation within the pattern. This a bottom reversal pattern.**



The **Bearish engulfing** pattern consists of two candles. The second candle must be a negative period engulfing the real body of the prior candle which can either be a positive period or a doji. This pattern should emerge at **resistance** after an uptrend. **The shorter the first candle & longer the second engulfing candle, the more significant the pattern. Bearish engulfing has its confirmation within the pattern. This a top reversal pattern.**



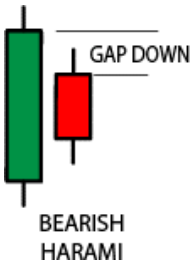
The Piercing line pattern consists of two candles. Alike the bullish engulfing pattern the second candle must be a positive period engulfing the real body of the prior candle which is a negative period. **The greater the penetration of the positive period, the greater the chance of a bottom forming.** This pattern should emerge at support after a downtrend. This a bottom reversal pattern.



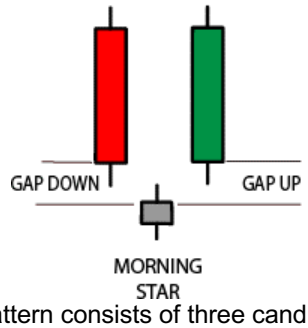
The Dark cloud cover pattern consists of two candles. Alike the bullish engulfing pattern the second candle must be a negative period engulfing the real body of the prior candle which is a positive period. **The greater the penetration of the negative period, the greater the chance of a top forming.** This pattern should emerge at resistance after an uptrend. This a top reversal pattern.



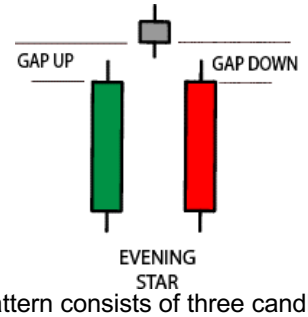
The Bullish harami pattern consists of two candles. This pattern should emerge at support after a downtrend. This a bottom reversal pattern. This is an inside bar pattern.



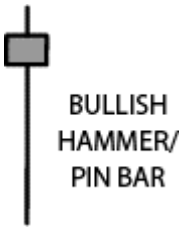
The Bearish harami pattern consists of two candles. This pattern should emerge at resistance after an uptrend. This a top reversal pattern. This is an inside bar pattern.



The Morning star pattern consists of three candles. This pattern should emerge at support after a downtrend. The candle that is greyed out imply that it can be either a doji, positive or negative short real body period. The first candle is a negative period, the second candles is a spinning top or a doji, and the third candle is a positive period. Usually, the 'star' should gap lower on entry and then gap higher on exit into the third candle. However, 24Hr markets typically have few gaps so you can ignore this requirement in the forex market. **This a bottom reversal pattern.**



The Evening star pattern consists of three candles. This pattern should emerge at resistance after an uptrend. The candle that is greyed out imply that it can be either a doji, positive or negative short real body period. The first candle is a positive period, the second candles is a spinning top or a doji, and the third candle is a negative period. Usually, the 'star' should gap higher on entry and then gap lower on exit into the third candle. However, 24Hr markets typically have few gaps so you can ignore this requirement in the forex market. **This a top reversal pattern.**



The **Pin bar** has a long bottom wick that should be twice the size of the real body with a short top wick & should emerge at **support** after a downtrend which represents a sharp reversal and rejection of price. The real body is at the top end of the trading range for that period. **The longer the bottom wick & the shorter top wick, the more significant the pattern.** The candle that is greyed out imply that it can be either a doji, positive or negative period. **The Pin bar needs an extra confirmation candle. This a bottom reversal pattern.**



The **Shooting star** has a long top wick that should be twice the size of the real body with a short bottom wick & should emerge at **resistance** after an uptrend which represents a sharp reversal and rejection of price. The real body is at the bottom end of the trading range for that period. **The longer the top wick & shorter the bottom wick, the more significant the pattern.** The candle that is greyed out imply that it can be either a doji, positive or negative period. **The Shooting star needs an extra confirmation candle. This a top reversal pattern.**



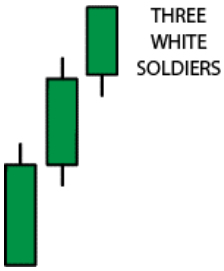
DRAGONFLY
DOJI

The **Dragonfly doji** has a long bottom wick with NO real body with a short or no top wick & should emerge at **support** after after a downtrend which represents a sharp reversal and rejection of price. The longer the bottom wick & the shorter the top wick, the more significant the pattern. **This a bottom reversal pattern.**
This is a variation of the pin bar.

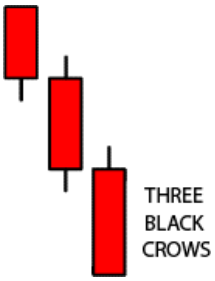


GRAVESTONE
DOJI

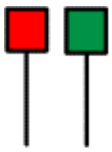
The **Gravestone doji** has a long top wick with NO real body with a short or no bottom wick & should emerge at **resistance** after an uptrend which represents a sharp reversal and rejection of price. The longer the top wick & the shorter the bottom wick, the more significant the pattern. **This a top reversal pattern. This is a variation of the shooting star.**



The **Three white soldiers** consist of three consecutive candles with large bodies and small wicks. This is a very strong bullish signal. This pattern should emerge at support after a downtrend signaling a reversal. **This a bottom reversal pattern.**



The **Three black crows** consist of three consecutive candles with large bodies and small wicks. This is a very strong bearish signal. This pattern should emerge at resistance after an uptrend signaling a reversal. **This a top reversal pattern.**



TWEEZER
BOTTOM

The **Tweezer bottom** pattern consists of two candles. The first candles is a negative period, while the second candle is a positive period. This pattern occurs when two candles find support at the same zone and begin to reverse. This pattern should emerge at support after a downtrend. The longer the top wicks the more significant the pattern. **This a bottom reversal pattern**.



TWEEZER
TOPS

The **Tweezer tops** pattern consists of two candles. The first candles is a positive period, while the second candle is a negative period. This pattern occurs when two candles find resistance at the same zone and begin to reverse. This pattern should emerge at resistance after a downtrend. The longer the top wicks the more significant the pattern. **This a top reversal pattern.**